



South Africa liquid fuels market story

Investment thesis, scenario worlds and
supporting evidence

Durban and Gauteng (Lesedi catchment)

7 October 2026

Top-down review draft; calibration pending

Photo source: Royal Vopak | Terminal Durban | vopak.com

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Vopak's investment case rests on capturing imports through its Durban–Gauteng chain

Investment thesis	Supporting reason	What determines the choice
Capture imported fuel	Limited demand growth can coexist with greater import needs as domestic production changes.	Establish how much of that import requirement is accessible through Durban and can be captured by Vopak.
Use the coastal–inland position	Durban and Lesedi give Vopak assets along the supply chain into Gauteng.	Delivered cost, reliable access and customer allocation determine throughput at each terminal.
Make expansion conditional	The relevant investment is the capacity or handling constraint that prevents profitable customer volumes being served.	Use existing assets, debottleneck or add storage according to capturable flow, usable capacity and incremental returns.
Test the thesis in nine worlds	Medium / Medium anchors the baseline. Low demand / High supply and High demand / Low supply frame contrasting import environments.	Choose an option that is justified across the relevant worlds, or phase commitment against explicit volume and return triggers.

Working investment thesis, not an approved expansion recommendation. Supporting logic: p3; nine-world framework: p4; evidence and implications: pp5–14. Numerical calibration and commercial inputs remain open.

The investment thesis depends on imports, route access and profitable capacity use

Argument	Situation	Complication	Resolution / decision
Transport demand	Subdued aggregate growth masks different product trends. Road freight supports diesel use.	Sector growth, rail recovery, EVs and efficiency change fuel demand.	Demand growth alone cannot establish expansion. L/M/H paths test the product volumes Vopak could serve.
Power demand	Power shortages supported diesel use; Eskom consumption has recently fallen.	Recovery may persist or reverse through outages and replacement delays.	Power recovery can remove diesel support. The same demand paths must include explicit power assumptions.
Domestic supply	Reduced local production has increased reliance on imports.	SAPREF, Natref and Secunda can change domestic fuel output materially.	Domestic supply changes can create import needs even with flat demand. Cross L/M/H supply with demand.
Corridor competition	Durban connects imported fuel to inland customers.	Alternative gateways, delivered costs, reliability and access alter flows.	Vopak benefits only from accessible flows. Delivered economics and access translate imports into Durban volumes.
Vopak investment	Durban and Lesedi provide a coastal-inland asset position.	Capture, usable capacity and commercial returns determine expansion needs.	Expand where capturable flows exceed usable capacity at an adequate return. Compare options across the nine worlds.

SCR synthesis supporting the opening investment thesis. L/M/H = Low/Medium/High; M/M is baseline. Matrix follows on p4. Each resolution is conditional on the evidence and calibration described in the pack.

Nine demand–supply worlds frame the choice, with Medium / Medium as baseline

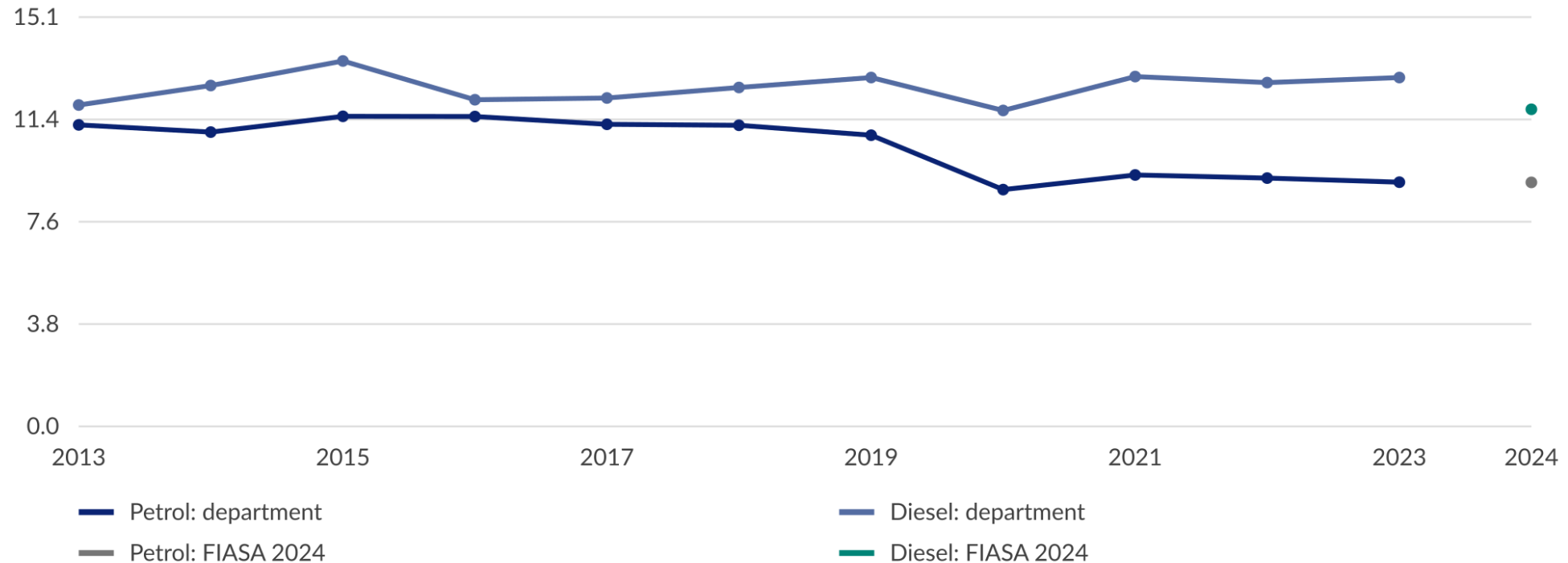
Fuel demand / domestic supply	HIGH supply	MEDIUM supply	LOW supply
LOW demand	L / H LOWEST IMPORT PRESSURE Test existing-capacity use before expansion.	L / M Lower imports than baseline. Test utilisation and customer capture.	L / L Demand and supply both fall. Net import effect depends on their relative change.
MEDIUM demand	M / H Lower imports than baseline. Supply recovery reduces import needs.	M / M BASELINE Reference imports, terminal throughput and capacity headroom.	M / L Higher imports than baseline. Supply losses increase import needs.
HIGH demand	H / H Demand and supply both rise. Net import effect depends on their relative change.	H / M Higher imports than baseline. Demand growth increases import needs.	H / L HIGHEST IMPORT PRESSURE Test debottlenecking or expansion if capturable flows exceed capacity.

Each cell will report imports, Vopak Durban / Lesedi throughput, capacity headroom and investment choice.

Qualitative framework, not calculated results. Import directions hold exports and stock movements comparable. The diagonal contrasts investment worlds; routing, capture and returns determine the actual choice. M/M calibration remains open.

Demand growth alone provides a weak foundation for Vopak's investment case

billion litres / calendar year



Petrol fell 19% and diesel rose 9% over 2013–2023. This supports the opening thesis: import requirements and accessible customer flows must establish the investment case alongside demand growth.

Department fuel sales, 2013–2023, same-series comparison. FIASA 2024 shown separately; source definitions require reconciliation. Economic context and sector mechanisms: appendix pp16–18.

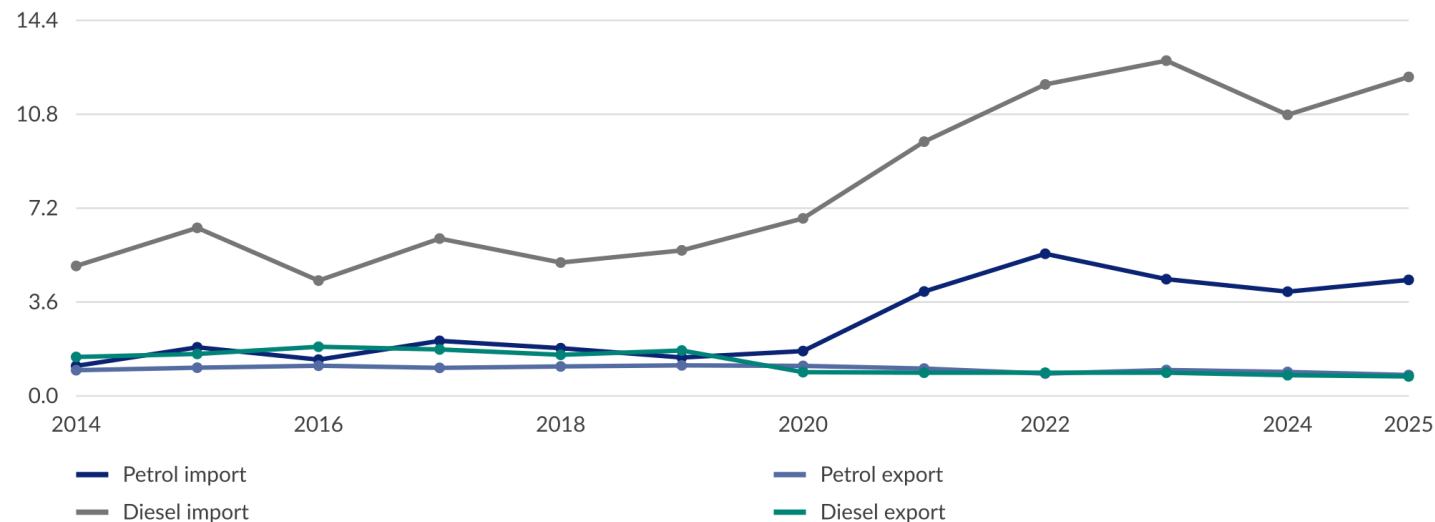
Power shortages and road freight have supported parts of diesel demand

Demand support	Historical evidence	What this establishes
Power generation	Eskom's own OCGT fuel use rose to 1,129.5m litres in FY2024, then fell to 679.1m in FY2025 as EAF improved.	The historical diesel market includes a material power-system component whose scale can change.
Road freight	The national payload series shows road carrying substantially more tonnage than rail.	Diesel use depends on how freight moves as well as how much the economy produces.
Demand interpretation	Mining and agriculture add sector-specific diesel exposure; aviation has a separate jet-fuel market.	A national GDP forecast alone cannot explain the product and activity mix that terminals serve.

Eskom 2025 integrated report (own-fleet diesel + kerosene); Stats SA freight payload. No causal diesel attribution from tonnes alone. Details: appendix pp18, 21–22.

Reduced domestic production has increased the importance of imported supply

billion litres / complete calendar year



Domestic supply context

Mossgas GTL has not operated since December 2020.

SAPREF's current roadmap starts with finished-product imports.

Secunda and Natref output remains material to the domestic balance.

The import opportunity can expand even with limited consumption growth. The trade trend and plant evidence support this mechanism; a reconciled product balance is still needed to quantify each plant's contribution.

SARS litre-reported petrol/diesel trade; CEF 10 Sep 2026 roadmap; PetroSA recommissioning scope; Sasol reporting. Excluded units/blends and stock changes prevent a complete balance.

The import opportunity is distributed across competing routes into inland markets

Route	Position in the supply chain	Market implication
Durban–Gauteng	Vopak's coastal and inland terminals are linked through the Transnet multi-product pipeline. Durban also has road and rail access.	The relevant market extends beyond the port into inland customer demand.
Matola / Maputo	An alternative gateway in the review's corridor comparison. Reach depends on destination and border logistics.	Compare the same product delivered to the same customer location.
Walvis Bay	A further gateway to test for reachable inland destinations. Distance and transit time constrain the comparison.	National imports cannot all be treated as volumes accessible through Durban.

Vopak terminal pages and existing corridor evidence. Alternative gateway coverage is a scope for comparison, not a finding that each route is competitive into Gauteng.

Vopak has assets at both ends of the Durban–Gauteng supply chain

Asset	Established position	Implication
Durban	360,246 m ³ published gross capacity; vessel, pipeline, road and rail access. Petroleum products and other liquids.	The coastal asset can serve imported-product handling and onward distribution; eligible fuel tankage needs to be isolated.
Lesedi	140,000 m ³ published capacity for clean petroleum products; connected to Durban via the Transnet pipeline.	The inland asset provides a distribution position in the provisional Gauteng catchment.
Commercial question	Assets establish a physical position. Customer allocation, working capacity and realised turnover determine volumes.	The investment question is how much demand these assets can capture and whether existing capacity can serve it.

Vopak operator inventory checked 6–7 Oct 2026; Gauteng catchment adopted provisionally by user. Gross capacity is not customer throughput or effective working capacity.

Rail recovery, EVs and efficiency could weaken transport fuel demand

Potential reversal	Condition for change	Fuel-demand implication
Road to rail	A funded and reliable rail service can transfer suitable freight from trucks.	Displaced road tonne-kilometres reduce diesel use, after rail traction and last-mile fuel. The 250 Mt ambition is not a direct diesel forecast.
EV adoption	Sustained ownership-cost advantages and charging access can influence new-vehicle purchases.	Fuel-price volatility alone does not establish adoption. Replacement cycles govern the effect on the whole fleet.
Vehicle efficiency	More efficient incoming vehicles lower combustion-fleet fuel intensity over time.	Efficiency can offset part of fleet and mileage growth. Apply it only to combustion activity that remains after EV switching.

Mechanisms drawn from the reviewed scope and current cohort architecture. Rail funding evidence: appendix p23; fuel prices and efficiency: pp19–20. Demand and supply paths require calibration.

Power recovery can persist, but availability and replacement timing remain risks

Evidence	Interpretation	Implication for Vopak
Recovery persists	A more available coal fleet and replacement generation reduce residual diesel dispatch.	Recent Eskom fuel consumption should not be extrapolated as a permanent growth source.
Recovery reverses	Major breakdowns or retirements before dependable replacement create a generation gap.	Quantify dispatch and operating constraints before translating a gap into fuel litres.
Load shedding	Grid shortages can also affect private backup generation.	Separate Eskom OCGT use from private generators. Ending load shedding does not imply zero Eskom diesel use.

Standalone power complication retained as requested. EAF, retirement and commissioning assumptions require later scenario calibration.

Plant-specific uncertainty can change the import requirement in either direction

Evidence	Interpretation	Implication for Vopak
SAPREF	CEF describes an import phase followed by a proposed large refinery development.	Import infrastructure can precede any local production recovery. Timing, financing and yields remain conditional.
Secunda	Declining gas supply and potential MRG diversion could reduce liquid output.	MRG bridge is conditional. A quantified liquids penalty requires a gas balance and marginal conversion yield.
Natref	Sasol reported an operational disruption in September 2026.	An outage is not evidence of permanent closure. Confirm recovery and the longer-term investment outlook.
Mossgas / PetroSA	GTL has not operated since December 2020; a recommissioning proposal exists.	Separate stopped historical production from a funded future restart.

CEF 10 Sep 2026 roadmap; Sasol 6 Nov 2025 MRG and 1 Sep 2026 Natref releases; PetroSA recommissioning scope. URLs and qualifications in evidence report.

Competing corridors could divert inland volumes away from Durban

Evidence	Interpretation	Implication for Vopak
Durban–Gauteng	Compare road, rail and pipeline to the same receiving point and product specification.	Include handling, transport, losses, inventory finance and service constraints.
Matola / Maputo	Include inland haul and border costs for each reachable destination.	A port-level cost comparison cannot establish Gauteng competitiveness.
Walvis Bay	Test distance, transit time and corridor capacity into each target market.	Do not assume that every inland customer is economically addressable.
Price bearability	Maximum affordable logistics cost = destination netback less origin product and other delivered costs.	The route with price headroom must also offer capacity and reliable access. Higher national imports do not automatically become Vopak volumes.

Submodel specification adopted from the annotated review. No route winner is asserted without matched costs, access and capacity.

Capacity proxies establish scale; customer throughput must establish the investment need

Catchment	Initial inference	What the result can support
Durban	45.1% of the combined published gross capacity of Vopak and Bidvest in Durban.	A two-operator footprint proxy with mixed products and an incomplete market denominator. It does not establish Durban throughput share.
Gauteng / Lesedi	2022 petrol + diesel sales: 6.81bn litres. Lesedi's gross capacity equals 2.06% of that market per effective annual turn.	A cross-vintage scale test. Current sales, eligible working capacity, actual turns and Gauteng allocation are needed for a throughput estimate.
Investment implication	Convert eligible tankage and realised turns into unique customer deliveries, then compare with existing capacity.	A large market can coexist with spare terminal capacity. Market scale alone does not establish a need for additional tanks.

Operator capacities: Vopak Durban 360,246m³, Bidvest Durban 439,306m³, Lesedi 140,000m³. Department Gauteng sales 2022; appendix p24. Transfers between terminals must not be double-counted.

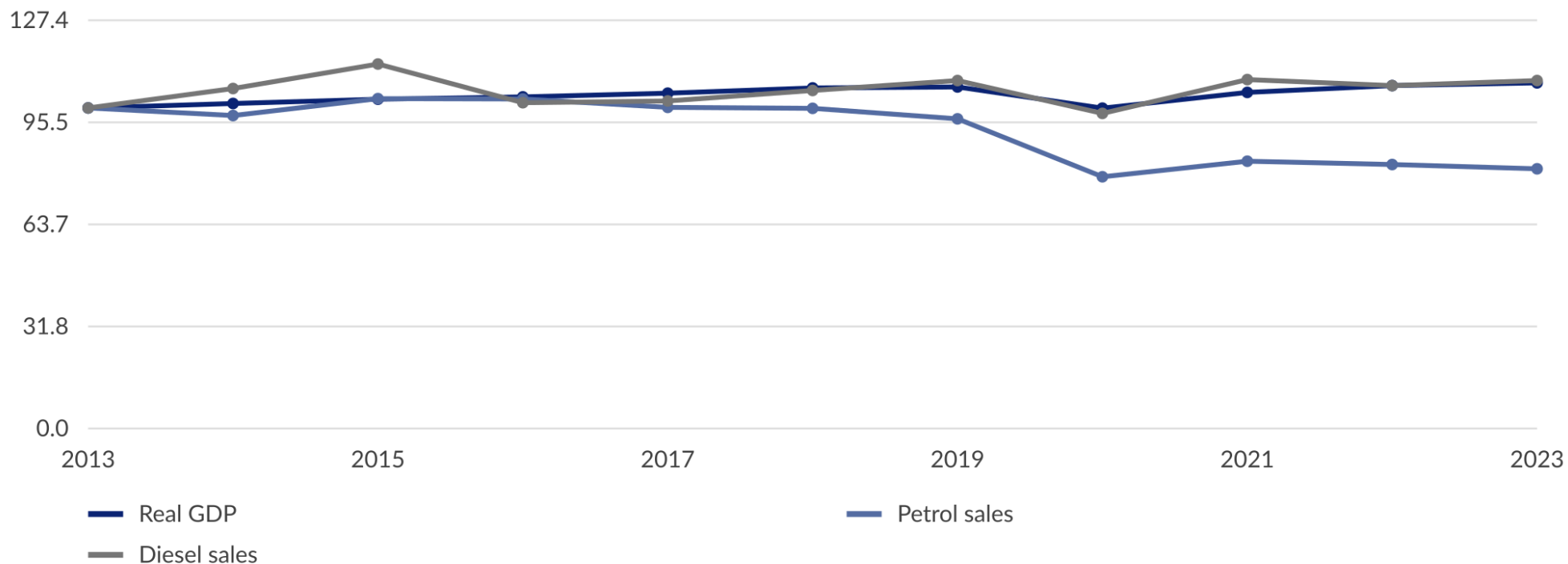
Supporting evidence for the main argument

Evidence group	Detail retained	Connection to the story
Demand context	GDP, investment and sector activity	Pages 16–18 support demand arguments on pages 5–6.
Transport change	Fuel prices and vehicle efficiency	Pages 19–20 support the transport complication on page 10.
Historical diesel support	Eskom fuel use and freight payload	Pages 21–22 support historical diesel demand on page 6 and power risk on page 11.
Delivery and market reach	Rail funding constraints and Gauteng demand	Pages 23–24 support corridor and share questions on pages 10, 13 and 14.

Opening argument: thesis p2, SCR p3, matrix p4. Supporting analysis: pp5–14. Appendix exhibits provide detail for those arguments.

GDP and fuel volumes need separate explanations of activity and sector mix

index: 2013 = 100; matched 2013-2023 window

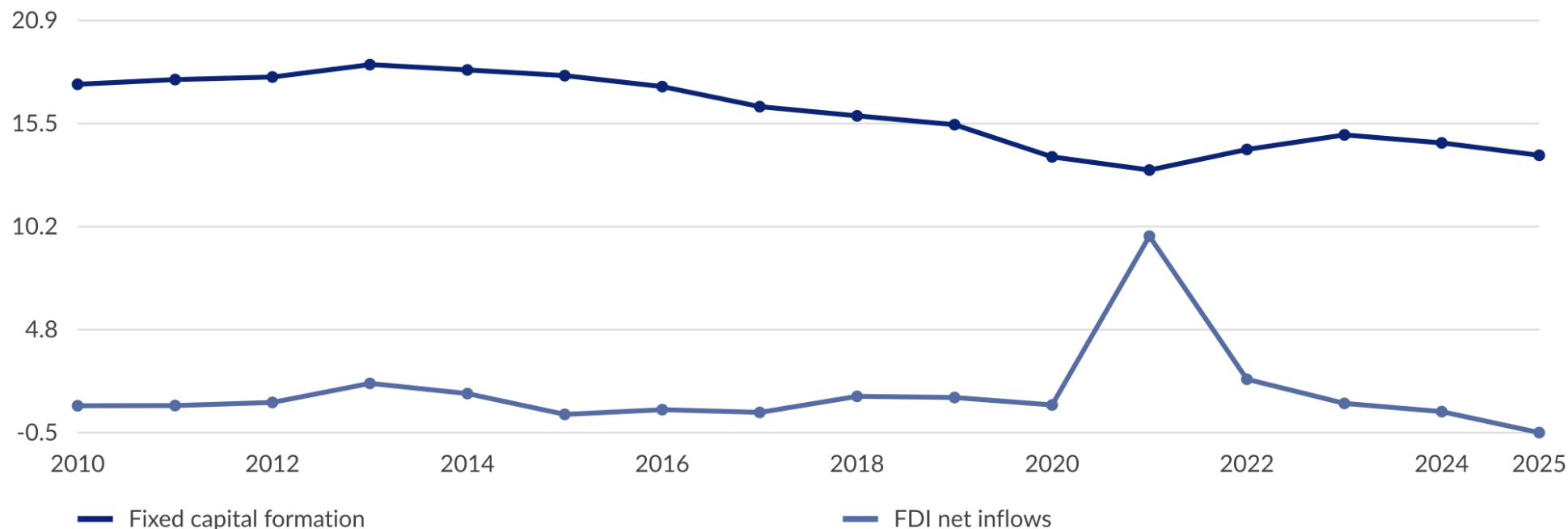


Economic weakness means limited growth in real activity and investment. Structural change means a different mix of output, travel and fuel use; this chart alone cannot attribute causality.

Staged GDP and department fuel sales, indices 2013=100. Sector attribution remains open; COVID distorts short-period comparisons.

Investment evidence informs the growth outlook but does not establish extra fuel demand

percent of GDP / calendar year



Fixed investment helps frame productive capacity. FDI can include large transactions; neither series is a direct investor-confidence measure or an additional fuel-demand multiplier.

World Bank WDI, FDI net inflows and gross fixed capital formation as % of GDP, 2010–2025. Confidence series remains an evidence gap.

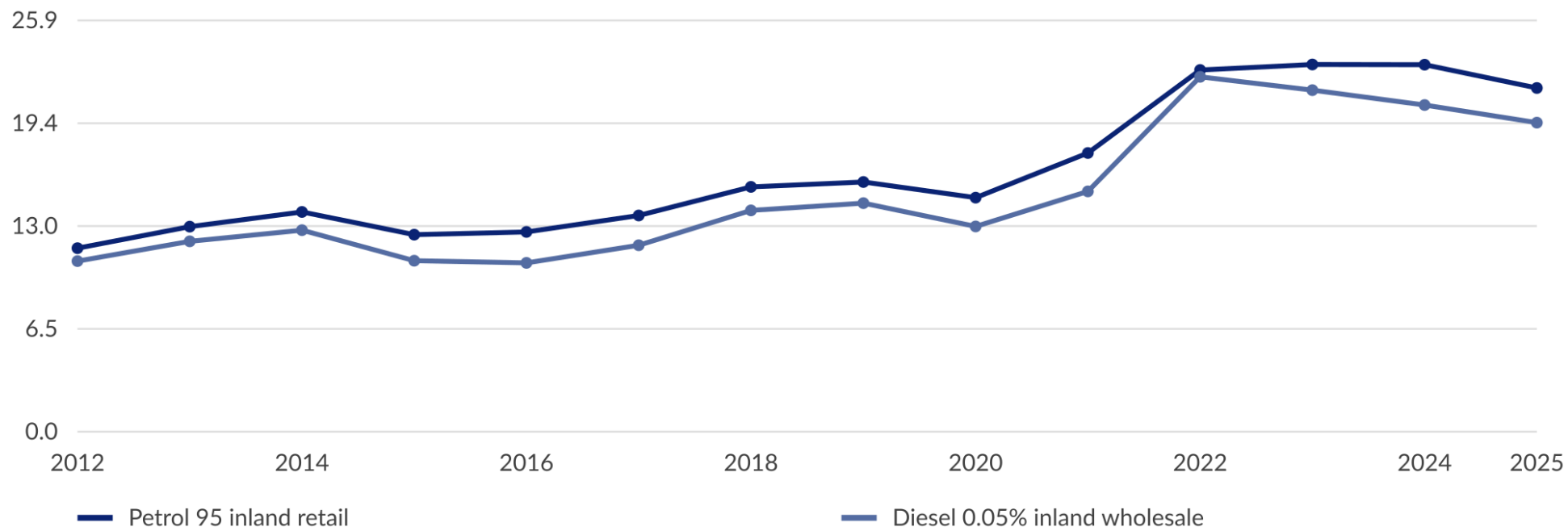
Mining, agriculture and aviation require distinct demand explanations

Evidence	Interpretation	Implication for Vopak
Mining	Output, commodity mix and haul distance influence diesel use and freight.	Separate mine activity from the fuel impact of changing freight mode.
Agriculture	Crop cycles, weather, irrigation and logistics can shift seasonal diesel use.	Establish sector activity and fuel exposure before assigning a headwind.
Aviation	Traffic, distance, load factors and aircraft efficiency drive jet-fuel demand.	Keep jet fuel separate from petrol/diesel shares and verify terminal eligibility.
Manufacturing	Real output and industrial composition help explain the economic backdrop.	Test changes using sector data; a national fuel chart does not prove deindustrialisation.

Analytical framework following user comments. Sector-specific exhibits and causal attribution remain to be completed.

Fuel-price shocks affect running costs; sustained economics influence EV uptake

nominal ZAR/litre; full-year monthly averages



Shipping disruption, crude prices and FX can move fuel costs temporarily. EV adoption depends on sustained total ownership cost, purchase affordability, charging access and fleet replacement.

Department fuel-price history, nominal R/litre. No quantified geopolitical premium or calibrated EV adoption response is asserted.

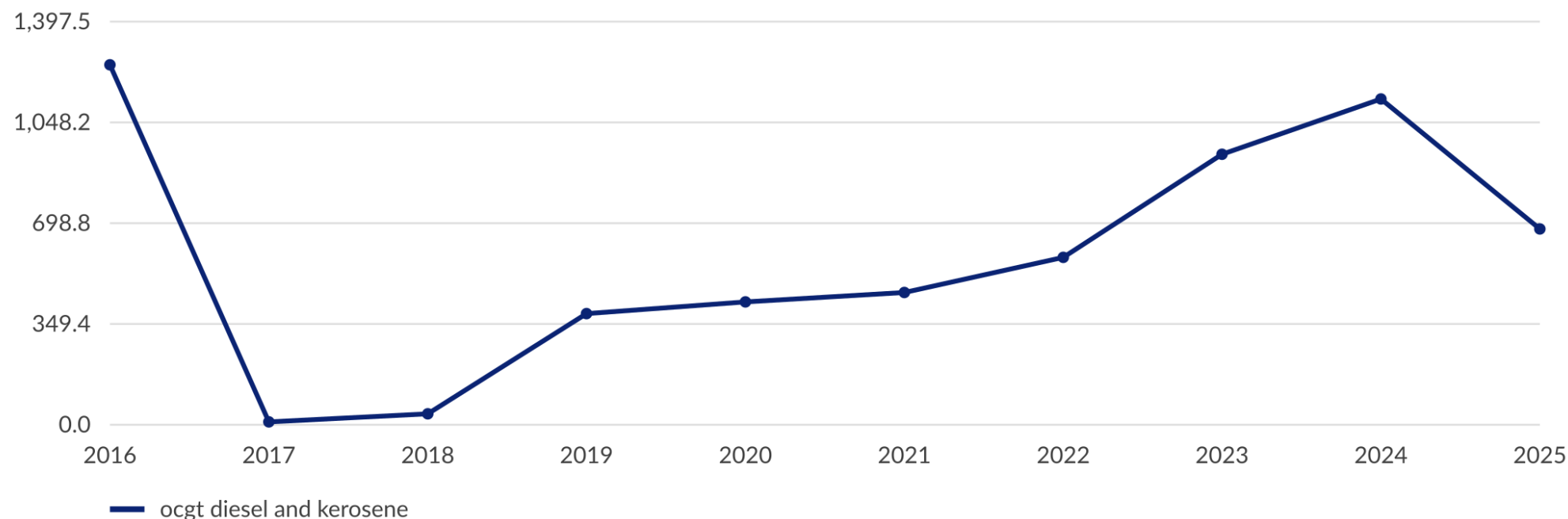
More efficient new vehicles reduce fuel intensity gradually as the fleet turns over

Evidence	Interpretation	Implication for Vopak
Fleet growth	More vehicles or distance travelled can raise demand.	Measure activity before attributing lower fuel volumes to efficiency.
Efficiency	New-cohort consumption gains enter the fleet over successive replacement cycles.	Obtain OEM and real-world evidence by segment; do not apply new-vehicle gains to every vehicle.
EV substitution	EVs remove some combustion-engine vehicle activity from the fuel calculation.	Count each vehicle transition once, then calculate efficiency on the remaining combustion fleet.

Mechanism supported by existing cohort architecture. OEM historical and future efficiency evidence is still missing; no new forecast shown.

Eskom's reported OCGT fuel use fell 40% in FY2025

million litres / FY ending 31 March

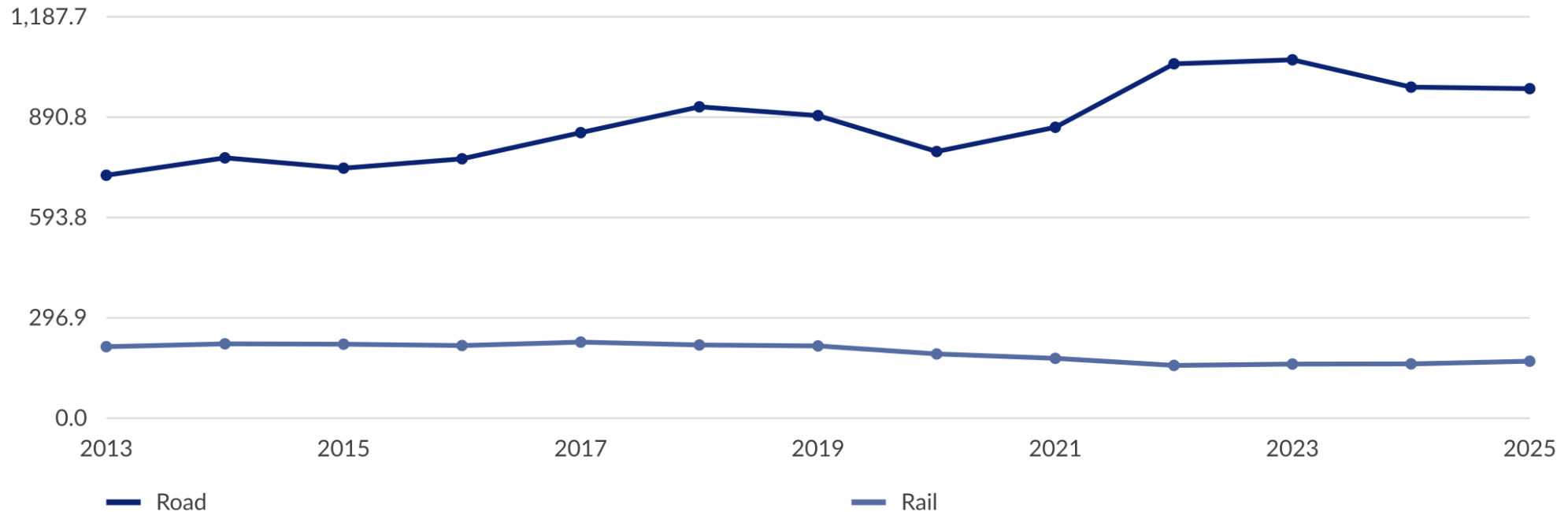


Reported fuel fell from 1,129.5 to 679.1 million litres as EAF improved from 54.56% to 60.60%. This removes part of the recent diesel-demand support.

Eskom integrated report 2025: FY March, own-fleet diesel + kerosene. EAF association is not a dispatch model; private backup use excluded.

Road-to-rail recovery matters through transferable freight and haul distance

million tonnes / complete calendar year



Payload establishes the historical direction. Diesel displacement requires corridor tonne-kilometres, road fuel intensity, rail traction and last-mile activity.

Stats SA monthly freight payload, complete calendar years. National tonnes are not corridor tonne-kilometres or transferable freight.

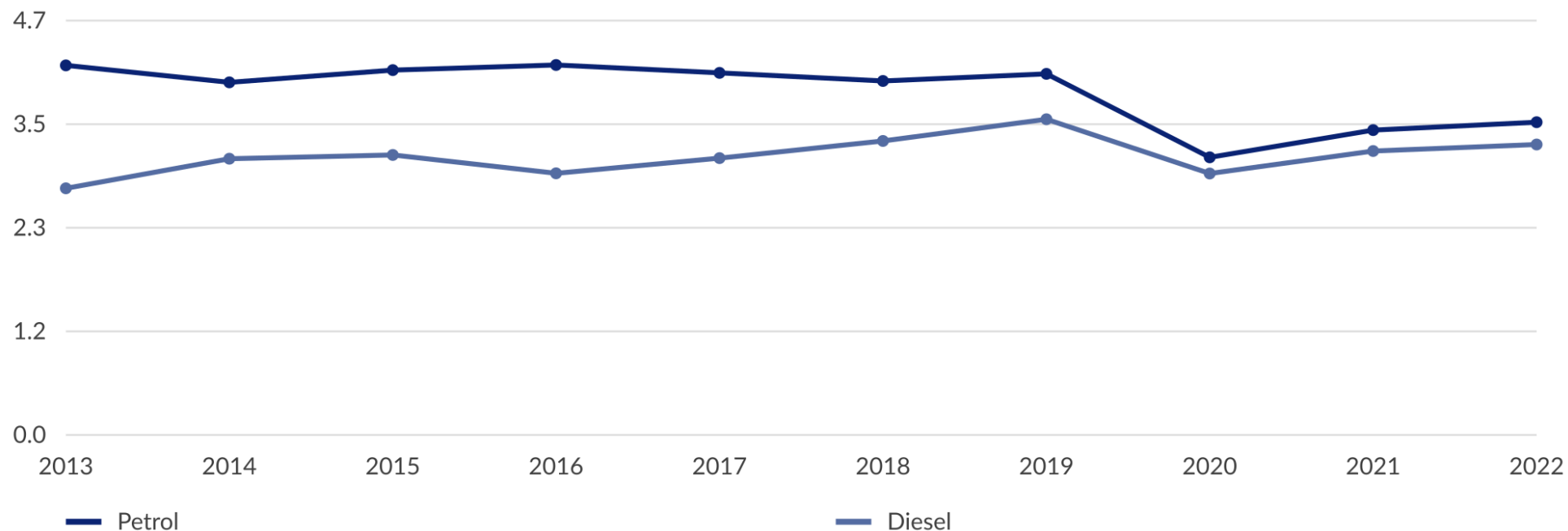
Rail recovery on the Durban corridor depends on funding and reliable service

Evidence	Interpretation	Implication for Vopak
Network ambition	The supplied brief reports a 250 Mt target dependent on a funding plan.	Do not treat every additional rail tonne as road displacement. Commodity, corridor and origin matter.
Funding constraint	Brief: R46.34bn approved over five years, including R1.71bn expansion.	Maintenance and sustaining spend dominate. A published plan is insufficient evidence of delivered capacity.
Container corridor	Brief: R2.11bn in 2026/27–2028/29; private funding expected thereafter.	Prioritise Durban–Gauteng road/rail competition and reconcile the corridor to Network Statement v4.
Two fuel effects	Rail can displace truck diesel while improved infrastructure also changes fuel-distribution economics.	Keep freight-demand effects separate from the route delivering fuel to Gauteng.

User-supplied AIA Transnet Funding Brief, Sep 2026, pp1–2; cites FY2026 AFS and Network Statement v4 Annexure 17. Primary figures not independently reconciled.

Gauteng provides a demand denominator for testing Lesedi's potential reach

billion litres / complete calendar year



2022 petrol + diesel sales total 6.81bn litres. Lesedi's 140,000m³ equals 2.06% of that annual market per effective gross-capacity turn. Actual turns and Gauteng allocation remain unknown.

Department provincial sales, latest complete staged year 2022; Vopak Lesedi current capacity. Cross-vintage scale test only, not current observed market share.